

China Internet

Digital entertainment and online verticals 2Q26 preview

We summarize our views on major digital entertainment and online vertical names (NetEase/Kuaishou/Kanzhun/Bilibili/JOYY/KE Holdings) as follows. **Our top picks are Kanzhun and JOYY.** Regarding Kanzhun, we like its market share gains in China's recruitment services market (both white-collar and blue-collar) and its strong data/algorithm differentiation from peer platforms. We believe AI will be a long-term revenue driver for Kanzhun. Despite a recent rally, Kanzhun's valuation (12x 2026E P/E vs. 15% OP growth in 2027-28E) remains attractive. And, we think there will be upside to its 3Q26 revenue guidance, supported by its recent World Cup promotions. We recently **upgraded JOYY to OW**, as we expect upside to BIGO Ads revenue in 2Q26, supported by its share gains in various verticals (leads generation, eCommerce, game). We expect BIGO Ads to grow at a 39% CAGR in 2027-28. JOYY's 15% annual shareholder return potential (9%/6% dividend/buyback) is attractive, in our view.

Thoughts on other names:

NetEase: While we remain positive on NetEase's long-term growth potential in the global online games market, we believe another new blockbuster game (we believe Sea of Remnants is below investor expectations) is required for near-term share price outperformance. NetEase is due to launch the Mobile version of FWJ Freemium on August 21, a potential near-term catalyst.

Kuaishou: While Kuaishou's valuation looks attractive (the current market cap implies 7.5x 2026E core profit excluding Kling investment, with zero valuation assigned to Kling), we believe catalysts such as Kling AI ARR robust growth, core Kuaishou growth rebound, or sizable shareholder return policy are required for share price outperformance.

Bilibili: We attribute BILI's recent share price weakness on investor concerns about potential major shareholder sales, and uncertainties in near-term ads & live streaming revenue due to weak China consumption sentiment. We like BILI's strong profit growth outlook (37% CAGR in 2027-28E, as there is rich upside from the 7% OPM in 1Q26; BILI aims for an OPM of 15-20% in the long term), and expect it to start a new game-launch cycle in 4Q26 (with a new Three Kingdom IP strategy game, a pet catch casual game Lumi Master, etc.).

KE Holdings: BEKE's share price is up 10% in the YTD, outperforming KWEB (-21%) significantly, supported by solid profit growth and share gains in primary/secondary transactions markets. Its current JPMe valuation of 18x 2026E P/E is rich against China internet peers, and we believe that further property sales volume recovery from 2Q26 onwards (which is not shown in the [recent data](#)) is required for stock price outperformance.

Internet

Daniel Chen ^{AC}

(86-21) 6106 6205

daniel.q.chen@jpmorgan.com

SAC Registration Number: S1730521040001

Alex Yao

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

Olivia Xu

(86-21) 6106 6138

olivia.w.xu@jpmorgan.com

SAC Registration Number: S1730525060001

Nancy Liu

(86 21) 6106 6343

nancy.liu@jpmorgan.com

SAC Registration Number: S1730524090001

J.P. Morgan Securities (China) Company Limited

Kanzhun: Expect in-line 2Q26 results with potential upside in 3Q26 revenue guidance vs. Bloomberg consensus

Kanzhun is due to report 2Q26 results on August 25. We [initiated on Kanzhun](#) recently. We currently forecast 15% YoY 2Q26 revenue growth (near the high end of guidance; 1% ahead of consensus), and adjusted NP growth of 11% (2% ahead of consensus). Kanzhun's share price is up 23% since early July, supported by a positive alternative data grossing trend in 2Q/3Q26. While we believe alternative data (mobile iOS revenue) only represent a small portion of total revenue, as the majority of Kanzhun's revenue comes from direct contracts with enterprises, which is not shown in mobile app store data, we believe there is potential upside to consensus revenue in 2H26 (+14% YoY in 3Q/4Q26), supported by Kanzhun's further expansion in the blue-collar segment, and positive promotion results from its recent World Cup advertising (June 11-July 19). We maintain our positive view on Kanzhun, and we view its current valuation of 12x 2026E P/E as attractive vs. 15% OP growth in 2027-28E, on our estimates.

Table 1: 2Q26 preview

	2Q26E			YoY	QoQ
Rmb mn	JPMe	Consensus	% delta	%	%
Net revenues	2,410	2,398	1%	15%	17%
Online recruitment services	2,398			15%	17%
Others	12			-50%	13%
Gross profit	2,061	2,061	0%	15%	16%
Opex	(1,241)			8%	8%
Sales	(518)			23%	3%
R&D				10%	8%
G&A	(265)			-15%	19%
Other	1			-65%	0%
Operating profit (GAAP)	821		N/A	26%	32%
Operating profit (non GAAP)	1,038		N/A	18%	27%
PBT (GAAP)	970	1,087	-11%	20%	-32%
Net income (GAAP)	825	885	-7%	16%	-27%
Net income (Non-GAAP)	1,041	1,020	2%	11%	22%
EPS, GAAP (Rmb)	1.80	2.45	-27%	14%	-26%
EPS, Non GAAP (Rmb)	2.26	2.17	4%	8%	21%
Margin analysis (%)					
Gross margin	85.5%	85.9%			
Operating margin (GAAP)	34.0%	N/A			
Operating margin (non-GAAP)	43.0%	N/A			
Net margin (GAAP)	34.2%	36.9%			
Net margin (non GAAP)	43.2%	42.5%			

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August 17, 2026

NetEase: 2Q26 potential upside in GPM; stock price outperformance requires another blockbuster game

NetEase will report 2Q26 results on August 20. We currently forecast 2Q26 revenue growth of 7% YoY (1% higher than Bloomberg consensus) and adjusted NP growth of 12% (4% higher than consensus). We project online game revenue growth of +8% YoY/-5% QoQ, mainly supported by legacy games (Eggy Party, Where Winds Meet, Justice Mobile, FWJ, etc.). There is potential upside to our 2Q26 GPM estimate (68.7%, +4ppts YoY/-0.7ppts QoQ) on an [Apple iOS fee adjustment](#) on March 12, 2026. NetEase's share price rallied in March-July 2026 on strong [1Q26 games and profit](#), and [stock connect inclusion in late June](#). However, the stock price has been volatile in the past 30 days due to seemingly weaker than expected performance of a major game, Sea of Remnants (PC/Mobile launch on July 9/23). We currently forecast the game's annual cash grossing to reach Rmb1bn-2bn. Based on our checks, there is negative feedback on the game's complicated game mode (it is unable to attract casual gamers). We believe there is downside to our current 2H26 game revenue estimates.

Share price outperformance requires another new blockbuster game. While we remain positive on NetEase's long-term outlook, we believe that share price outperformance will require another new blockbuster game. NetEase's major new game pipeline includes: 1) the mobile version of FWJ Freemium (August 21); 2) Sea of Remnants overseas launch (we estimate this to happen 2H26 and the game to show better performance in overseas markets among hardcore gamers); 3) Ying (诡影藏锋), a Chinese horror style survival action game. We note good gamer feedback on the game video trail; 4) Beneath the Mist (雾海之下), a cartoon style loot-and-extract action game; and 5) Ananta (无限大), an open-world city adventure RPG game.

Table 2: 2Q26 preview

		2Q26		YoY	QoQ
Rmb mn, except for EPS	JPMe	Consensus	% delta	%	%
Net Revenues	29,713	29,447	1%	7%	-3%
Games and related value-added services	24,524			8%	-5%
Youdao	1,483			5%	10%
Cloud Music	2,080			6%	5%
Innovative business and others	1,627			-4%	5%
Gross profit	20,410	19,739	3%	13%	-4%
Opex	(8,557)			3%	4%
R&D	(4,160)			5%	-3%
S&M	(3,566)			1%	4%
G&A	(832)			-2%	63%
Operating profit (GAAP)	11,515			27%	-9%
Operating profit (non GAAP)	12,114			21%	-9%
PBT (GAAP)	12,619			18%	-6%
Net income (GAAP)	10,065	9,506	6%	17%	-6%
Net income (Non-GAAP)	10,664	10,213	4%	12%	-6%
EPS (GAAP) (Rmb)	-				
Diluted	15.59	13.4	16%	17%	-6%
EPS (Non GAAP) (Rmb)	-				
Diluted	16.52	15.6	6%	11%	-6%
Margin analysis (%)					
Gross margin (GAAP)	68.7%	67.0%	1.7%	4%	-1%
Operating margin (GAAP)	38.8%			6%	-3%
Operating margin (non-GAAP)	40.8%			5%	-3%
Net margin (GAAP)	33.9%	32.3%	1.6%	3%	-1%
Net margin (non GAAP)	35.9%	34.7%	1.2%	2%	-1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August 17, 2026.

Kuaishou: While legacy revenue faces macro uncertainties in 2H26, the Kling AI ARR outlook is key to share price outperformance

Kuaishou reports 2Q26 results on August 19. We currently forecast 2Q26 revenue growth of 1% YoY (in line with Bloomberg consensus), and adjusted NP growth of -30% (in line with consensus). Kling AI ARR should further grow in 2H26, especially in overseas markets. We see potential downside to online advertising revenue in 2H (we currently forecast +5% YoY growth in 2H26, vs. 6% in 2Q), due to 1) a relatively high base of eCommerce ads in 2H25, and unexciting eCommerce growth in 3Q26 so far; and 2) marginally lower ROI for AI short drama ads spend (due to aggressive competition and a relatively low conversion rate).

Kuaishou's share price has underperformed China internet peers since July: Kuaishou is down 3% since July 1 vs. a 10% rise in the KWEB, despite Kling's fund raising in early July. Based on our discussions with investors, their key concerns are: 1) the competitive landscape of the global AI video generation market, especially after the launch of Seedance 2.5 (high-end) and Minimax Hailuo H3 (an open-sourced video generation model). More competition between video generation players could pose a downside risk to near-term pricing; 2) macro implications for Kuaishou's core business (ads and live streaming) in 2H26. Kuaishou's current market cap of US\$22bn implies 7.5x core profit in 2026E and a zero valuation for Kling AI (pre-money valuation of US\$15bn in the latest round of external financing). We find Kuaishou's valuation cheap and maintain OW. However, the share price outperformance would require a positive catalyst discussed above: e.g., Kling AI ARR robust growth, core business growth rebound, or a sizable shareholder return announcement.

Table 3: 2Q26 preview

	2Q26			YoY	QoQ
Rmb mn	JPM	Consensus	% delta	%	%
Net revenues	35,427	35,474	0%	1%	5%
Live streaming	8,601	8,641	0%	-14%	1%
Online marketing services	21,018	21,014	0%	6%	7%
Other services	5,808	5,830	0%	11%	4%
Gross profit	18,198	18,300	-1%	-7%	6%
Opex	15,021			1%	2%
R&D	3,897			15%	8%
S&M	10,274			-2%	-1%
G&A	850			-5%	11%
Operating profit (IFRS)	3,777		na	-29%	5%
Operating profit (non IFRS)	4,627			-23%	12%
PBT	3,777			-28%	11%
Net income (IFRS)	3,083	3,125	-1%	-37%	6%
Net income (Non-IFRS)	3,933	3,888	1%	-30%	17%
EPS(IFRS)					
Diluted (Rmb)	0.70	0.72	-3%	-38%	6%
EPS (Non IFRS)					
Diluted (Rmb)	0.89	0.89	0%	-31%	17%
Margin analysis (%)					
Gross margin	51.4%	51.6%	-0.2%	-4%	0%
Operating margin	10.7%	0.0%	10.7%	-4%	0%
Operating margin (non-IFRS)	13.1%			-4%	1%
Net margin	8.7%	8.8%	-0.1%	-5%	0%
Net margin (non IFRS)	11.1%	11.0%	0.1%	-5%	1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August 17, 2026

JOYY: Expect strong BIGO Ads momentum to continue, sizable shareholder return to sustain

JOYY reports 2Q26 results on August 26. We currently forecast 2Q26 revenue growth of 12% YoY (at the mid-point of guidance, in line with Bloomberg consensus), and adjusted NP growth of -29% YoY (13% below consensus). We expect upside to 2Q26 revenue as JOYY has reported revenue above the high end of its guidance for the past three quarters. We are positive on BIGO Ads growth: we forecast 2Q BIGO Ads revenue of US\$129mn (+48% YoY/+4% QoQ), supported by growth in all three segments: leads generation, eCommerce and games. We expect the BIGO Ads growth momentum to be sustained in 2H, supported by expansion of eCommerce ads.

We recently upgraded JOYY to OW: While JOYY's share price has significantly outperformed the KWEB since January 2025, we expect more share price upside from here: 1) JOYY's latest shareholder return policy announced in May 2026 suggests a 15% annual shareholder return. We believe its rich net cash on hand and sizable operating cash flow/interest income can support a sustainable shareholder return in the long run. We estimate that if JOYY's share price rises 50% from the current level, it would offer an attractive 10% annual shareholder return; and 2) we are positive on the BIGO Ads growth outlook, supported by a sizable programmatic ads market and JOYY's strong data/algorithm know-how in digital entertainment/eCommerce verticals (from Bigo/Likee/Shopline). We expect a BIGO Ads revenue CAGR of 39% for 2027-28, driving 19%/30% growth in consolidated NP/OP during this period. JOYY trades at 14x 2026 JPMe P/E.

Table 4: 2Q26 preview

	2Q26			YoY	QoQ
US\$m	JPMe	Consensus	% delta	%	%
Net Revenues	570	573	-1%	12%	3%
Social Entertainment	407			3%	2%
BIGO ads	129			48%	4%
Shopline	34			27%	10%
Gross profit	195	196	0%	5%	3%
Opex	187			4%	2%
R&D	62			2%	1%
S&M	74			3%	-7%
G&A	52			8%	22%
Operating profit (GAAP)	8			44%	22%
Operating profit (non GAAP)	43			13%	14%
PBT (GAAP)	31			-53%	23%
Net income (GAAP)	23	40	-41%	-60%	-51%
Net income (Non-GAAP)	53	61	-13%	-29%	-1%
EPADS (GAAP)					
Diluted (US\$)	0.46	0.78	-40%	-57%	-51%
EPADS (Non GAAP)					
Diluted (US\$)	1.11	1.18	-6%	-24%	-1%
Margin analysis (%)					
GM	34.2%	34.2%	0.0%	-2%	0%
Operating margin (GAAP)	1.5%	0.0%	1.5%	0%	0%
Operating margin (non-GAAP)	7.6%	0.0%	7.6%	0%	1%
Net margin (GAAP)	4.1%	7.0%	-2.8%	-7%	-5%
Net margin (non GAAP)	9.4%	10.7%	-1.3%	-5%	0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August 17, 2026

Bilibili

Bilibili reports 2Q26 results on August 27. We currently forecast 2Q26 revenue growth of 8% YoY (in line with Bloomberg consensus) and adjusted NP growth of 31% YoY (7% higher than consensus). Bilibili's share price has underperformed the KWEB since July 1, 2026 (+2%, vs. the KWEB's +10%). Based on our discussions with investors, their key concerns are: 1) potential downward earnings revisions due to ads (weak consumption sentiment) and live streaming (sector weakness on regulation); 2) limited catalysts in the near term, as the major game launch timing is 4Q26; and 3) a relatively rich 2026E P/E (17x) vs. <15x for most China internet companies.

We maintain our positive view on BILI: We believe BILI's relatively high 2026E P/E multiple (actually, BILI only trades at 12x 2027E P/E) can be justified by its strong profit CAGR (37%) in 2027-28E: 1) ads to sustain 20%+ growth supported by strong advertiser interest in BILI's Gen-Z users/strong traffic growth (+19% YoY user time spent in 1Q26); 2) BILI will start a new game launch cycle in 4Q26 that will include Wang Dao Tian Xia (a Three Kingdom IP strategy game, 4Q26) and Lumi Master (a pet catch casual game, 4Q26) and the recently announced Ragnarok Online 3 (RO3, a famous MMORPG IP, which will be available on both PC/mobile), this should drive game revenue growth back to 10%+ from 2027; 3) BILI has a long pathway of margin expansion: currently at 7% OPM in 1Q26, to reach 15-20% in the long term.

Table 5: 2Q26 result preview

	2Q26			YoY	QoQ
Figures in Rmb mn except for per share data	JPMc	Consensus	% delta	%	%
Net revenues	7,910	7,922	0%	8%	6%
<i>Mobile games</i>	1,431	1,421	1%	-11%	-6%
<i>VAS</i>	2,929	2,942	0%	3%	1%
<i>Advertising</i>	3,107	3,116	0%	27%	20%
<i>Others</i>	444	443	0%	1%	-1%
Gross profit	2,939	2,953	0%	10%	6%
<i>Opex</i>	(2,332)			8%	1%
<i>R&D</i>	(910)			19%	12%
<i>S&M</i>	(1,044)			2%	-8%
<i>G&A</i>	(378)			1%	0%
EBIT (GAAP)	320			27%	92%
EBIT (non GAAP)	677			18%	29%
PBT (GAAP)	386			58%	74%
Net income (GAAP)	353	342	3%	61%	68%
Net income (Non-GAAP)	737	690	7%	31%	24%
EPS (GAAP) (Rmb)					
Diluted	\$0.77	\$0.79	-2%	54%	68%
EPS (Non GAAP) (Rmb)					
Diluted	\$1.60	\$1.51	6%	25%	24%
Margin analysis (%)					
Gross margin	37.1%			1%	0%
EBIT margin (GAAP)	4.0%			1%	2%
EBIT margin (non-GAAP)	8.6%			1%	2%
Net margin (GAAP)	4.5%	4.3%	0.2%	1%	2%
Net margin (non GAAP)	9.3%	8.7%	0.6%	2%	1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August, 17 2026.

KE Holdings

KE Holdings reports 2Q26 results on August 21. We currently forecast 2Q26 revenue growth of -8% YoY (in line with Bloomberg consensus), and adjusted NP growth of +25% (6% below consensus). BEKE's share price is up 18% since July 1, 2026, outperforming the KWEB's 10% rise. We believe the key reasons are: 1) according to third party data, secondary sales volume has sustained 10%+ growth YTD (please refer to [report by Karl Chan and team](#)); and 2) BEKE is one of the most discussed names among China property stocks (please refer to the [report by Karl Chan and team](#)). Based on our discussions with investors, BEKE's market share gains in primary/secondary house transaction markets, cost optimization amid the market downturn (and thus adj. OP growth of 82% in 2026E), and shareholder return (JPMe 5%+ overall annual shareholder return) are well appreciated by investors. We believe management's view on a 3Q26 market momentum (whether the sales rally momentum in Apr-May sustains in 3Q) will be a key driver of the near-term share price performance.

Table 6: 2Q26E preview

				YoY	QoQ
Rmb mn	JPMe	Consensus	% delta	%	%
Net revenues	24,047	24,288	-1%	-8%	27%
Existing home	6,785			1%	11%
New home	8,649			0%	70%
Home renovation and furnishing	3,561			-22%	52%
Home rental	4,653			-18%	-7%
Emerging and others	398			-8%	24%
Gross profit	6,128	6,236	-2%	8%	34%
Opex	(3,968)			-14%	21%
S&M	(1,395)			-27%	29%
G&A	(1,948)			-6%	14%
R&D	(625)			-1%	27%
Operating profit	2,160			104%	70%
Operating profit, adjusted	2,620			63%	57%
PBT	2,720			58%	49%
Net income	1,822	1,862	-2%	40%	45%
Net income, non-GAAP	2,282	2,415	-6%	25%	42%
FD EPS (Rmb)	1.61			44%	45%
FD EPS, non-GAAP (Rmb)	2.01			29%	42%
Gross margin	25.5%			3.6%	1.3%
Operating margin	9.0%			4.9%	2.2%
Operating margin, adjusted	10.9%			4.7%	2.1%
Net margin	7.6%	7.7%	-0.1%	2.6%	0.9%
Net margin, adjusted	9.5%	9.9%	-0.5%	2.5%	1.0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of August 17, 2026.

Companies Discussed in This Report (all prices in this report as of market close on 17 August 2026, unless otherwise indicated)

Bilibili(9626.HK/HK\$136.00/OW), Bilibili (BILI)(BILI/\$17.23/OW), JOYY Inc(JOYY/\$73.62/OW), KE Holdings(BEKE/\$16.85/OW), KE Holdings - H(2423.HK/HK\$44.22/OW), Kanzhun Ltd - H(2076.HK/HK\$61.90/OW), Kanzhun Ltd ADR(BZ/\$15.55/OW), Kuaishou Technology(1024.HK/HK\$40.08/OW), NetEase(9999.HK/HK\$194.20/OW), NetEase (NTES)(NTES/\$124.40/OW)

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Coverage Universe: Chen, Daniel : Bilibili (9626.HK), Bilibili (BILI) (BILI), China Mobile - A (600941.SS), China Mobile - H (0941.HK), China Telecom - A (601728.SS), China Telecom - H (0728.HK), China Unicom - H (0762.HK), China Unicom Network - A (600050.SS), Huya (HUYA), JOYY Inc (JOYY), KE Holdings (BEKE), KE Holdings - H (2423.HK), Kanzhun Ltd - H (2076.HK), Kanzhun Ltd ADR (BZ), Kingsoft Corporation Limited (3888) (3888.HK), Kuaishou Technology (1024.HK), NetEase (9999.HK), NetEase (NTES) (NTES), XD Inc. (2400.HK), iQiyi (IQ)

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